

Tesla & Grohmann Engineering

3.3.2 Business growth — case study & questions · Mr. Akram — Academy

The case

In 2016 Tesla wanted to increase production rapidly for the Model 3, from about 84,000 vehicles to a target of 500,000 a year by 2018 — so speed was central to its decision. Tesla acquired **Grohmann Engineering**, a German supplier of automated manufacturing machinery operating earlier in its supply chain (**backward vertical integration**).

What Tesla gained

- ~700 specialist employees and their expertise in high-volume manufacturing
- Automated manufacturing technology and production machinery
- German engineering facilities

Financial information

- Cash purchase price ~ \$109.5 million
- Additional employee incentive payment ~ \$25.8 million
- Tesla also planned ~ \$2 billion of capital expenditure in 2017, incl. ~\$800m for the Nevada Gigafactory

Integration issues

- Founder Klaus Grohmann left after a disagreement over strategy
- Employees were concerned about pay and job security (pay reportedly 25–30% below the industry agreement)
- Tesla offered pay increases, share options and employment guarantees
- Existing customers included BMW, Daimler and Bosch — prioritising Tesla could cut Grohmann's external revenue

Exam questions

- Explain one benefit to Tesla of growing through the takeover of Grohmann Engineering. (4)
- Assess the likely impact on Tesla of taking over one of its suppliers, Grohmann Engineering. (8)
- Discuss the likely problems Tesla may experience following its takeover of Grohmann Engineering. (12)
- Evaluate whether Tesla should have grown its automation capability through the takeover of Grohmann Engineering rather than through organic growth. (20)

Akademy · Pearson Edexcel IAL Business — case study compiled by Mr. Akram. Model answers are on the topic page.